

payday. To each, in turn, I delivered a little speech that was hardly calculated to brighten his day.

"I've been going over the company's books," I announced sourly. "I've found several examples of what I consider unnecessary expenditures which have cost this company's stockholders many tens of thousands of dollars in the last year. Apparently, you paid little or no attention to them.

Certainly, I've seen no evidence that you tried to reduce the expenses or correct the situations which caused them to rise as high as they did. Yet, when your own paycheck is involved, you instantly notice a five-dollar underpayment and take immediate steps to have the mistake rectified."

Two of the executives got the point, took it to heart and

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quickly mended their ways. The third did none of these things—and was soon looking elsewhere for work.

It should go without saying that no business can long survive unless it makes a profit. It should also go without saying that businessmen and business executives must be constantly alert for ways to reduce costs and increase efficiency, production, quality and sales so that the company he owns—or for which he works—can operate at a profit.

These would appear to be the most basic of all basic business axioms. Yet it is a sad fact that many businessmen and executives barely comprehend them—and there are even those who don't comprehend them at all!

An all-too-familiar attitude was expressed to me recently by a young executive who complained bitterly that his departmental budget had been slashed by \$20,000.

"Did the cut reduce the efficiency of your department or curtail any of its productive operations?" I asked him.

"No, I guess not," he replied after a moment's thought.